

It turned out that Ben had come across a variation on the same idea a couple of weeks earlier when he received a presentation from Deutsche Bank that pitched buying protection on the mezzanine tranches of MBS. These were largely the BBB tranches of the mortgage securitization pools that were going into the CDOs Paul Singer had talked about. So he and Charlie had already started to do some work at the MBS level when we became aware of the CDO angle.¹⁰

In the past, one important argument that was given to support the value of CDOs was that they provided portfolio diversification—that is, the collateral that went into CDOs was sourced from different asset classes. One could argue that there was a diversification benefit to having credit card receivables, aircraft leases, and various forms of real estate debt in a single structure. By late 2006, however, CDOs were composed almost entirely of the lowest-rated tranches of subprime mortgage securitizations. This homogeneous composition of the CDOs meant that the argument justifying a lower correlation assumption went out the window. The upshot was that the CDOs provided us with the opportunity to buy protection [equivalent to going short] on the worst quality bonds at premium levels that were in line with high-grade corporate bonds.¹¹

What did you do next?

Since we did not have the domain expertise necessary to do bottom-up fundamental analysis in the MBS space, we hired a highly regarded research analyst who had recently left BlackRock to create his own hedge fund. He was able to evaluate the quality of the collateral underlying all the MBS issuances we were interested in analyzing based on such metrics as loan-to-values, FICO scores, and seasoning of nonperforming loans. He then came up with a list of the worst ABS issuances, based on his fundamental analysis. We then went out and looked for CDOs that had the most overlap with his list. We were pleasantly surprised to find CDOs that had a large overlap.

It wasn't until much later that we realized that the security-selection acumen we thought we'd demonstrated in picking some of the worst-performing CDOs was in fact a reflection of much deeper work that had been done by other investors, such as Michael Burry of Scion Capital,